

THE VALUE TEST.



EIGHT BAY AREA BENCHMARKS / ADVERTISED PRICES CHECKED 9-14 SEPTEMBER 2026

The concept is promising; \$195 for a shared tour is hard to justify today. Comparable local experiences often include food or an e-bike at a lower price. Test **\$100 per guest** for a focused, human-led 3.5-hour tour, then validate willingness to pay and actual operating costs.

Experience	Advertised price / length	What the visitor receives
SF City Guides [1]	Free; optional \$20 donation 1.5-2 hours	Volunteer-led neighborhood walk. Nonprofit model; useful visitor alternative, not a commercial cost benchmark.
Alcatraz [2]	Day \$47.95; night \$59.65; Behind the Scenes \$104.65	Ferry and cellhouse audio included. Behind the Scenes includes the night visit; 4-5 hours total. Different scale and format.
Local Tastes of the City [3]	\$89.04 / 3 hours \$99.64 / 4 hours	Food and nonalcoholic drinks included. These totals include its published 6% online booking fee. Numerical group cap not shown.
SF Native Tours [4,13]	\$99 detail / 4.5 hours Also displays \$79	Original Local Food Tour includes food/drink. Conflicting prices on one page: confirm before treating it as a firm offer. Cap not shown.
Dandyhorse [5]	From \$99 / about 3-3.5 hours	E-bike, helmet, headset, guide and pastry; maximum 8 riders. Page duration varies between main copy and navigation.
Bay City Bike [6]	\$115 / 3-4 hours	E-bike, guide, helmet, lock and post-tour bonus rental. Starts and returns at the Wharf. Numerical group cap not shown.
Edible Excursions [7]	\$137 / 3 hours	North Berkeley culinary walk with tastings. Minimum group required; minimum number and maximum cap not shown.
Extranomical private [8]	\$1,750 per group / 10-11 hours	Private Silicon Valley outing with hotel pickup, up to 8. \$218.75 each only at 8 guests; group quote, not a shared-seat fare.

All figures are USD. These are operator/NPS advertised prices, not completed checkout quotes; date availability, remaining taxes/fees and final inclusions were not tested. No assumed group caps or numerical market averages are used. Sources and limitations are on page 5.

Implication: compete on understanding contemporary SF and gaining confidence using the city. A long stop list or attractive website alone does not establish premium value.

MAKE THE PROMISE TANGIBLE.



TOURIST VALUE / CLEAR SCOPE / ROUTES THAT EARN THEIR TIME

Proposed positioning: Meet the San Francisco shaping what comes next, with a local guide. Explore its neighborhoods, unpack the AI story, and learn to enjoy the city the way locals do. **3.5 hours. Up to eight guests. Human-led. No AI knowledge needed.**

The strongest fit is a curious visitor who wants contemporary stories, conversation and help navigating Muni. A visitor seeking included meals, office access or a comprehensive city highlights trip may prefer another product. Say clearly that company stops are exteriors and imply no affiliation or employee access.

Branch	Reason to buy	Design priority before sales
A / 8:30 AM-12 PM	Old-city neighborhoods, migration and the connection to today's AI economy.	Use a few memorable stories through North Beach, Chinatown and SoMa; finish at the Ferry Building. Avoid duplicating a generic history walk.
B / 2-5:30 PM	Dogpatch, the waterfront, builders and sports culture. Recommended lead product for the pilot.	Connect RH, Pier 70/YC, Chase Center and Mission Bay to Oracle Park. Time every Muni transfer; protect time for stories and questions.
C / separate sunny-day special	Ocean Beach surf culture, Outerlands, the Japanese Tea Garden, Haight-Ashbury and Japantown.	Separate weather decision, rehearsal and budget. Its longer geography cannot be a casual add-on to A/B. South Bay locations remain stories only.

Show the real visitor spend

One guest needing an adult Muni day pass [10]	Current \$195	Proposed \$100
Tour + \$5.70 guest-purchased pass	\$200.70	\$105.70
Same, with the optional \$40 guided return	\$240.70	\$145.70

These are tour-plus-transit subtotals, before coffee, food, admissions, game tickets or any applicable government taxes. An existing valid pass or fare eligibility may change transit cost. The \$40 is for additional guide time, not a \$40 Muni fare. Make independent onward travel an equally welcome choice.

Deliver visible value: propose a short phone-friendly route recap, personalized onward directions and time for live questions. Verify guide expertise and rehearse the pacing. These enhancements are recommendations, not existing inclusions. RH on B and Outerlands on C remain optional, guest-paid coffee stops with no promised seating.

Learn from Santa Fe, not just its price. Heritage Inspirations charges \$195 + tax for 3.5 hours, with an e-bike and equipment, a six-guest maximum and return to the starting point. Borrow its curation and small-group care; our different inclusions need their own price test. [9]

PAY THE GUIDE. TEST THE MARGIN.



A/B MONTHLY SCENARIOS / UNCHANGED COST BASELINE / BRANCH C EXCLUDED

Base model: 52 departures/month, eight seats each (416 seats); 208 paying guests is 50% capacity, or four per departure. Fixed costs are **\$11,897.20/month**: \$10,680 for 267 owner hours at \$40/hour, plus \$1,217.20 in other overhead and guide Muni fares.

Variable assumptions: \$2 consumables per guest; 3% sales reserve; Stripe domestic-card processing at 2.9% + \$0.30. The baseline assumes 25% buy the \$40 return. It conservatively models each guest ticket and return as separate transactions. See page 5 for reproducible formulas. [12]

Tour price	Surplus at 208 guests*	Break-even / capacity*	Break-even: no returns
\$50	-\$647.52	220 / 52.9%	266
\$75	\$4,245.68	154 / 37.0%	175
\$100	\$9,138.88	118 / 28.4%	130
\$125	\$14,032.08	96 / 23.1%	104
\$195	\$27,733.04	63 / 15.1%	66

*With 25% return take-up. Surplus is after modeled owner pay and overhead, before income tax and other unmodeled costs. Break-even rounds up to a whole guest. Lower prices may increase demand, but that effect has not been measured; \$195's modeled surplus does not establish that tourists will buy it.

A \$100 ticket must work without an upsell

\$100 stress case	Surplus / month at 208	Break-even guests
25% buy the return; direct sales	\$9,138.88	118 / 28.4%
No return purchases; direct sales	\$7,197.20	130 / 31.2%
No returns + assumed 20% sales-channel cost	\$3,037.20	166 / 39.9%
Same + 15% uplift on modeled labor cost	\$1,435.20	189 / 45.4%

The assumed 20% channel cost is a planning stress, not a quoted marketplace commission. It is added to retained card costs; actual contracts may replace some charges. The 15% labor uplift is only a sensitivity test, not a complete employee payroll estimate. All no-return cases retain the budget's full return-time allowance.

Minimum wage is a floor, not the guide budget

San Francisco's minimum is **\$19.61/hour from July 1, 2026**. [11] Preserve the \$40/hour planning allowance for quality guide work. The 267-hour monthly schedule is about **61.6 hours/week** for one owner; hiring requires a fresh staffing budget for paid preparation, applicable overtime, payroll costs, leave and coverage. The existing model cannot be treated as an employee pay schedule.

Also validate insurance, acquisition costs, refunds, weather losses, international-card fees, administration time and startup spending. A positive operating scenario is not cash in the bank and does not recover startup investment automatically.

A SMALL PAID PILOT.



BUSINESS PLAN FORWARD / RECOMMENDATIONS FOR VALIDATION, NOT LIVE BOOKING RULES

Start at \$100, with a proposed four-guest minimum

For one departure, budget four paid guide hours at \$40, a full \$5.70 guide day pass, 2.9% + \$0.30 processing for one group order, \$2 per guest and a 3% reserve. With no return sale, the contribution below remains **before monthly administration, other overhead and customer acquisition.**

Guests at \$100	2	4	6	8
Departure contribution	\$18.20	\$202.40	\$386.60	\$570.80

Two guests leave just \$18.20 before overhead; four leave \$202.40. At \$50 with four guests, only \$14.20 remains. This supports testing a four-guest minimum for the full tour. A \$50 product would need a shorter format and its own budget. The group-order assumption here differs from the conservative per-guest transactions in the monthly model.

Stage	Action / decision
Prepare	Rehearse A and B at their scheduled times, including Muni waits, coffee queues and return options. Verify stops and guide stories. Measure walking distance and accessibility constraints.
Run a limited pilot	Offer eight confirmed departures over four weeks, leading with B and retaining A on selected dates. Target at least 32 paid guests at \$100. This is a learning phase, not the 52-departure monthly revenue scenario.
Measure	Track guests per departure, acquisition spend per paid guest, actual paid hours, refunds, on-time finishes and value feedback. Keep a separate ledger for return sales.
Continue / revise	Proceed only if guests value the experience and measured costs support paid guide time. If demand is weak, refine the route and promise before adding more departures. Test \$125 only after evidence of demand.

Proposed internal pilot targets: average at least four paying guests; acquisition spend no more than 15% of tour revenue; at least 80% rate value good/excellent at the price paid; at least 80% feel able to plan an onward Muni trip; at least 90% finish within 15 minutes of schedule. These are decision targets, not industry benchmarks; a small pilot will not prove long-term demand.

Publish a sellable offer after the test preparations

Finalize meeting points, minimum-departure notice and cancellation/refund terms before accepting payment. Budget the cost of the intended flexible refunds. Clearly show the full tour charge, any verified applicable government tax, exclusions, duration and endpoint before payment. Do not invent a general SF tour tax or assume a competitor's fees apply to us.

Keep the \$40 guided return optional. Keep C separately scheduled and costed for sunny beach conditions. A private corporate product should be quoted by group and include a tailored brief and appropriate expertise; it is a separate product test, not proof of \$195 shared-tour demand.

Decision status: this review recommends a \$100 pilot. The website and existing workbook still use \$195; no selling-price change, four-guest booking rule or live payment activation is made by this report. Once a price is selected, update checkout, website, signs, budget and policies together.

SOURCES & MODEL NOTES.



PRIMARY SOURCES / LINKS ARE CLICKABLE / PLANNING BASELINE DATED 9 SEPTEMBER 2026

Research was conducted 9-14 September 2026. Main operator, NPS, Muni, wage and Stripe pages were rechecked on 14 September; SF Native's FAQ was consulted in the earlier pass. No purchases or live-date checkout quotes were made. Competitor prices and route availability can change.

- [1] [SF City Guides: public walk format and optional donation](#)
- [2] [National Park Service: Alcatraz adult fares and inclusions](#)
- [3] [Local Tastes of the City: food tours, duration and published booking fee](#)
- [4] [SF Native Tours: Original Local Food Tour; conflicting \\$79/\\$99 display](#)
- [5] [Dandyhorse: Ultimate SF e-bike price, group cap and inclusions](#)
- [6] [Bay City Bike: Streets of SF price, duration and included rental](#)
- [7] [Edible Excursions: North Berkeley Food Tour](#)
- [8] [Extranomical: private Silicon Valley group tour](#)
- [9] [Heritage Inspirations: original Santa Fe reference](#)
- [10] [SFMTA: Muni day pass price and covered services](#)
- [11] [City and County of San Francisco: 2026 minimum wage history](#)
- [12] [Stripe: standard domestic-card processing prices](#)
- [13] [SF Native Tours FAQ: food and drink inclusions](#)

Reproduce the A/B model

Capacity = 2 departures/day x 6 days/week x 52 weeks / 12 months x 8 seats = 416. Paid hours = 52 x (3.5 tour + 0.5 preparation + 0.75 reserved return) + 20 administration = 267. Other monthly costs = \$1,069 overhead + 26 guide passes x \$5.70 = \$1,217.20. Fixed costs = 267 x \$40 + \$1,217.20 = \$11,897.20.

With tour price P and 25% return take-up: average revenue/guest = P + \$10; contribution/guest = 0.941 x (P + 10) - 2.375. With no return sales: contribution/guest = 0.941 x P - 2.30. The 0.941 factor deducts 2.9% processing and a 3% reserve. Fixed transaction costs are \$0.375 or \$0.30; consumables are \$2. Monthly surplus = contribution x paying guests - fixed costs. Break-even guests = fixed costs / contribution, rounded up.

The \$100 channel stress subtracts another \$20 contribution per guest. The labor stress adds 15% x \$10,680 = \$1,602 fixed costs. Tax collected for a government is not operating revenue; no unverified tax rate is assumed. The 3% reserve is a provisional allowance and must be replaced by observed refund/disruption costs.

What this research can and cannot establish

This is a selected comparison of eight Bay Area alternatives, plus the Santa Fe design reference. It compares advertised price, time, inclusions and published group size. It is not a representative market survey, mystery-shopper quality assessment or estimate of competitors' profits. Free nonprofit walks, a large attraction and private transport tours serve different needs; do not average their prices into a single market rate.

The recommendation combines those public offers with AI SF Tour's existing owner-operated budget. It supports a testable proposition at \$100, not a guarantee of profitability. This addendum expands the earlier Alcatraz pricing review; route manuals, print files and the workbook remain dated snapshots until the next coordinated release.